

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 316.18		USD 106.35		-66.4%		USD 335.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 416.2bn FY2025, +6% YoY	32.0% FY2025	USD 98.8bn FY2025	8.8% Discount rate (CAPM)	USD 106.35 -66% vs market	USD 335.00 what the market believes		

Reading the valuation. Our intrinsic DCF values AAPL at USD 106.35, against a market price of USD 316.18 and a Wall Street consensus target of USD 335.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 51%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong franchise, but at USD 316 the market prices in growth and margins far above our conservative, realistic expectations, warranting a sell.

Business quality: Strong · **Stock:** SELL — Apple maintains robust operating margins (~30-32%) and a diversified product and services ecosystem supported by significant R&D; and intellectual property protections.

What the market prices in. The current price implies an aggressive first-year revenue growth of ~51% with sustained high margins, reflecting expectations of rapid innovation and market expansion that outpace recent trends.

What we expect. We forecast modest revenue growth averaging 6% in year one and a terminal operating margin of 26%, reflecting competitive pressures, supply constraints, and slowing product cycle dynamics.

The gap. The market's optimism on growth and margin expansion is disconnected from our more cautious outlook, resulting in a valuation premium that overstates intrinsic value by approximately 66%, justifying a sell recommendation.

Why SELL

- 1 Recent revenue growth has decelerated, with FY2023 down 3% and only 2% growth projected for FY2024, signaling challenges to sustaining high growth rates.
- 2 Operating margins are expected to compress from recent peaks (30-32%) to a terminal margin of 26%, pressured by rising component costs and competitive pricing.
- 3 Significant R&D; investment and IP protection are required to maintain competitive advantage, but rapid technological change and aggressive competitors increase execution risk.
- 4 The reverse DCF shows the market prices in growth rates (~51%) that are unrealistic given historical and near-term guidance.
- 5 Scenario analysis indicates a 25% probability of a bear case fair value at USD 71, underscoring downside risk if growth and margin pressures intensify.

Biggest catalyst. Disappointing quarterly revenue growth or margin contraction due to supply chain issues or intensified competition, driving a re-rating lower.

Biggest risk. Faster-than-expected innovation or successful new product launches that materially accelerate revenue growth and margin expansion beyond our base case.

We would turn more positive if:

- Sustained revenue growth above 10% annually driven by new product categories or services expansion.
- Operating margins stabilizing or expanding above 30% despite cost pressures.
- Successful resolution of supply constraints and improved cost structure leading to margin upside.

We would turn more negative if:

- Revenue declines or stagnation below 2% growth for multiple quarters.

- Operating margin compression below 25% due to pricing pressure or increased costs.
- Loss of market share to competitors or failure to protect intellectual property.

The case against our view. The market's higher valuation reflects confidence in Apple's ability to innovate and capture new growth opportunities, supported by a loyal customer base and strong brand, which could lead to upside if the company outperforms conservative estimates.

BUSINESS OVERVIEW

Apple's geographically diversified hardware and services business drives stable revenue with growth potential in services and emerging markets.

Apple generates the majority of its revenue from hardware products, which accounted for \$307 billion of net sales in FY2025, complemented by \$109 billion from services including digital content subscriptions and payment services [6][2]. This dual revenue stream indicates a business model that balances high-volume product sales with recurring service income, enhancing revenue stability and customer engagement. The sustainability of this model depends on maintaining innovation in hardware and expanding the services ecosystem to deepen customer lock-in, while competitive pressures and rapid technology shifts could challenge hardware margins.

The company manages its operations primarily through five geographic segments: Americas, Europe, Greater China, Japan, and Rest of Asia Pacific, with Americas leading at \$178 billion in net sales, followed by Europe at \$111 billion and Greater China at \$64 billion in FY2025 [1][3]. This geographic segmentation allows Apple to tailor strategies to distinct market dynamics and customer bases, mitigating regional risks. However, the decline in Greater China sales by 4% in 2025 signals potential volatility in that key market, which could persist if geopolitical or competitive factors intensify.

Apple's distribution strategy combines direct sales through retail and online stores (40% of net sales) with indirect channels like cellular carriers and resellers (60%) [2]. This diversified approach broadens market reach and reduces dependency on any single channel, supporting resilience against distribution disruptions. The balance between direct and indirect sales is likely sustainable given Apple's strong brand and extensive partner network, though shifts in consumer purchasing behavior or channel conflicts could alter this mix.

Operating income of \$133 billion in FY2025 is supported by efficient cost management across segments and significant investment in R&D; (\$34.5 billion) and marketing (\$19.5 billion) [1][6]. The corporate segment absorbs centralized expenses, reflecting Apple's scale and complexity. Continued investment in innovation and brand promotion is critical to sustaining competitive advantage and profitability, but rising costs or failure to innovate could pressure margins over time.

- Hardware products generated \$307 billion in net sales in FY2025, underscoring Apple's reliance on product innovation for revenue.
- Services contributed \$109 billion, highlighting a growing, recurring revenue stream that supports business stability.
- Americas segment led with \$178 billion in net sales, showing strong demand in mature markets.
- Greater China sales declined 4% in 2025, indicating regional challenges that could affect growth.
- Direct sales accounted for 40% of net sales, balancing control with broad market access via indirect channels.
- R&D; spending of \$34.5 billion reflects Apple's commitment to innovation critical for sustaining its market position.

What it means. Apple's diversified geographic presence and balanced hardware-services model underpin stable revenue and profit growth, supporting a resilient investment thesis despite regional and competitive risks.

Sources cited above.

- [1] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.48
- [2] FY2025 Annual Report (10-K) - Item 1 -Business - p.4
- [3] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.24
- [4] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.50
- [5] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.49
- [6] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.31
- [7] Q32025 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.13
- [8] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.38

FINANCIAL PERFORMANCE

Apple's revenue growth and margin expansion in FY2025 reflect resilient demand and operational leverage despite cost pressures and regional headwinds.

Apple's total net sales increased 6% to \$416.2 billion in FY2025 from \$391.0 billion in FY2024, driven by a 14% rise in Services revenue to \$109.2 billion and a 4% increase in Products revenue to \$307.0 billion. This growth indicates that

Apple's diversified revenue streams continue to expand, with Services accelerating faster than Products, suggesting a shift toward higher-margin, recurring revenue sources. The sustainability of this trend depends on maintaining user engagement and expanding the services ecosystem, while product sales growth may face challenges from market saturation and geopolitical factors [2][6].

Gross margin rose to \$195.2 billion in FY2025 from \$180.7 billion in FY2024, supported by a \$3.3 billion increase in Products gross margin and an \$11.3 billion increase in Services gross margin. However, the Products gross margin percentage declined due to product mix changes and tariff costs, partially offset by favorable costs, while Services gross margin percentage improved due to a favorable mix despite higher costs. This suggests that while Apple is managing cost pressures effectively, margin expansion is increasingly reliant on Services growth, which typically commands higher margins. The persistence of margin gains will hinge on cost control and the ability to sustain Services revenue growth amid competitive pressures and potential regulatory risks [1][5].

Operating expenses rose 8% to \$62.2 billion, maintaining 15% of net sales, driven by a 10% increase in R&D; spending to \$34.6 billion and a 6% increase in SG&A; to \$27.6 billion. This investment in innovation and market development supports long-term growth but also compresses near-term operating leverage. The steady expense ratio suggests disciplined cost management, but continued increases in R&D; and SG&A; will require commensurate revenue growth to preserve profitability. The durability of operating margins depends on balancing investment with efficiency gains and scaling the higher-margin Services segment [1][4].

Cash flow from operations remained robust at \$111.5 billion, slightly down from \$118.3 billion in FY2024, reflecting strong net income growth to \$112.0 billion but working capital fluctuations. Investing activities generated \$15.2 billion in cash, boosted by lower marketable securities purchases and higher maturities, while financing activities used \$120.7 billion, primarily for share repurchases and dividends. The strong cash generation underpins Apple's capital return strategy and financial flexibility, but sustaining this level requires continued profitability and efficient working capital management amid macroeconomic uncertainties [3][8].

- 6% revenue growth to \$416.2 billion driven by 14% Services and 4% Products growth indicates diversification and resilience [2][6].
- Gross margin increased by \$14.5 billion to \$195.2 billion, with Services margin expansion offsetting product mix and tariff pressures [1][5].
- Operating expenses rose 8% to \$62.2 billion but remained 15% of sales, reflecting disciplined cost control amid increased R&D; investment [1][4].
- Net income grew 20% to \$112.0 billion, supporting strong cash flow from operations of \$111.5 billion despite working capital headwinds [2][3].
- Share repurchases of \$90.7 billion and dividends of \$15.4 billion highlight continued shareholder returns funded by robust cash generation [3][8].

What it means. Apple's financial performance in FY2025 demonstrates sustainable revenue and margin growth driven by Services expansion and disciplined cost management, supporting its investment appeal amid evolving market dynamics.

Sources cited above.

[1] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

[2] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.31

[3] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.35

[4] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

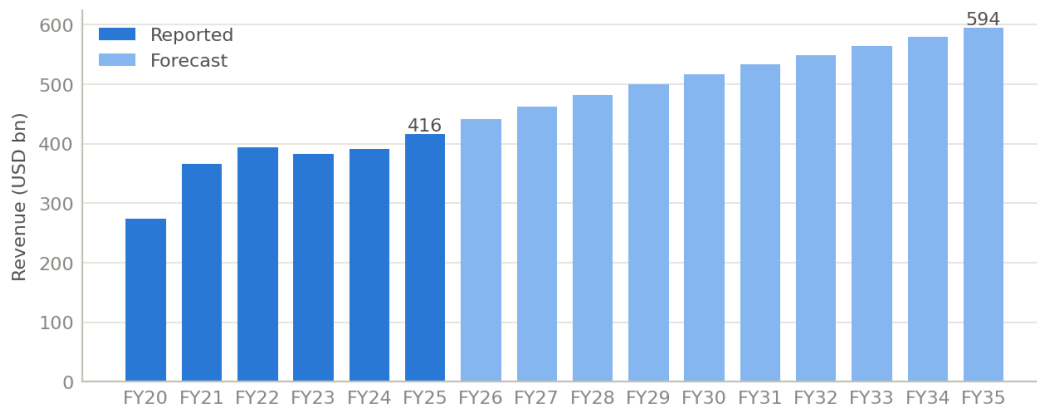
[5] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

[6] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.24

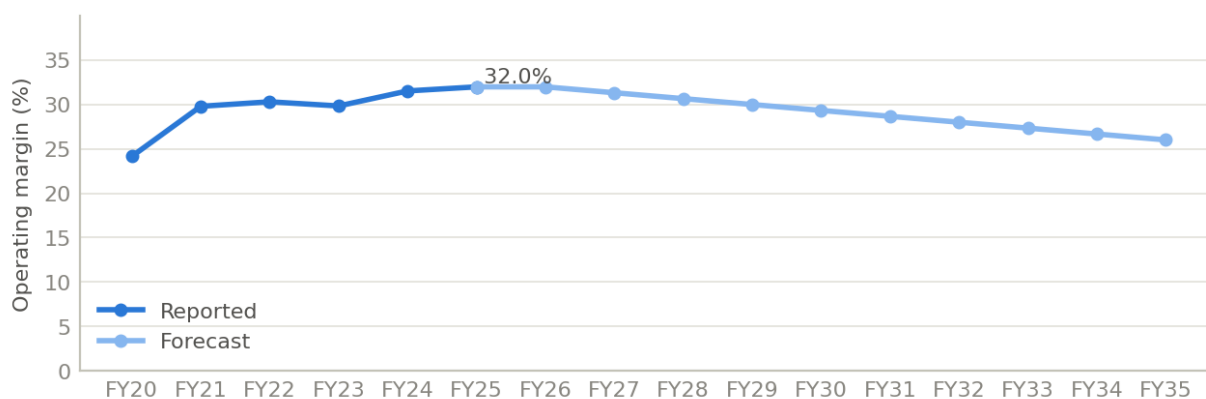
[7] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.50

[8] Q42025 Earnings Release (8-K) - p.5

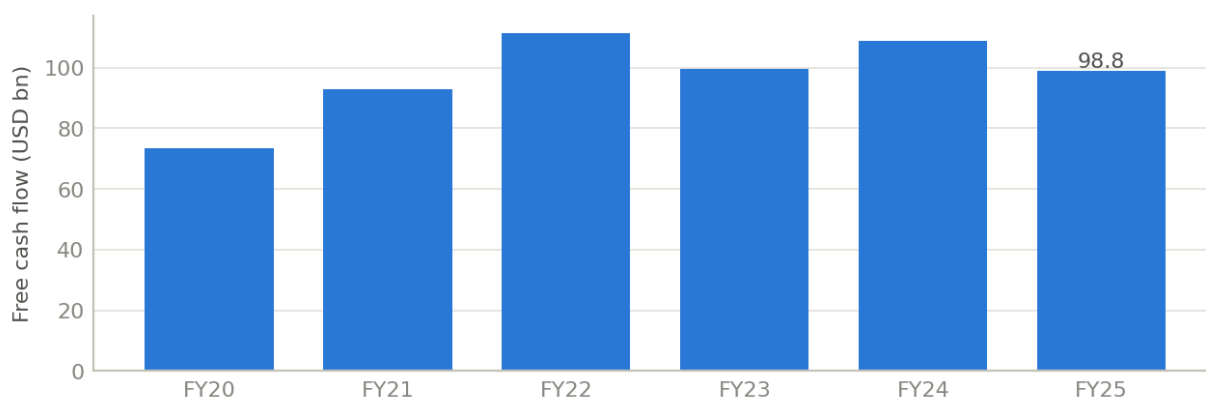
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2020	274.5bn	-	66.3bn	24.1%	57.4bn	73.4bn
FY2021	365.8bn	33.3%	108.9bn	29.8%	94.7bn	93.0bn
FY2022	394.3bn	7.8%	119.4bn	30.3%	99.8bn	111.4bn
FY2023	383.3bn	-2.8%	114.3bn	29.8%	97.0bn	99.6bn
FY2024	391.0bn	2.0%	123.2bn	31.5%	93.7bn	108.8bn
FY2025	416.2bn	6.4%	133.1bn	32.0%	112.0bn	98.8bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

Apple's revenue growth is driven by steady product upgrades and expanding services, but supply chain and competitive pressures pose ongoing risks.

Apple's revenue growth in FY2025 was supported by a 4% increase in iPhone sales and a 14% rise in Services revenue, reflecting both hardware refresh cycles and expanding digital offerings [2]. This mix indicates that while hardware remains a core driver, the growing Services segment provides a more resilient and recurring revenue base. The sustainability of this growth depends on Apple's ability to continuously innovate and successfully launch new products and services, as well as maintain consumer demand amid macroeconomic and competitive challenges [1][8].

Geographically, growth was uneven with Americas and Europe posting 7% and 10% increases respectively, while Greater China declined 4% [4]. This suggests that Apple's growth is increasingly reliant on mature markets, which may limit upside potential if emerging markets do not rebound. The persistence of this trend will hinge on Apple's capacity to navigate geopolitical tensions and tariffs that could disrupt supply chains and dampen demand in key regions [1][3].

Apple's investment in research and development rose 10% to \$34.6 billion, maintaining 8% of net sales, signaling a commitment to innovation that underpins future product introductions [5]. However, the company faces risks from supply constraints on custom components and the need to manage complex product transitions effectively [3][8]. These factors could constrain growth if not managed well, especially given intensifying competition and the necessity for frequent product refreshes.

The combination of steady product upgrades, expanding services, and geographic concentration in developed markets frames Apple's near-term growth drivers. Yet, the company's exposure to supply chain risks, tariffs, and aggressive competition introduces uncertainty. The durability of revenue growth will depend on Apple's ability to mitigate these risks while sustaining innovation and consumer appeal.

- 4% iPhone sales growth in FY2025 supports continued hardware-driven revenue expansion [2].
- 14% Services revenue increase reflects a shift toward more stable, recurring income streams [2].
- 10% revenue growth in Europe contrasts with a 4% decline in Greater China, highlighting regional disparities [4].
- 10% rise in R&D; spending to \$34.6 billion underlines focus on innovation critical for future growth [5].
- Supply chain risks from single-source components and tariffs could disrupt product availability and margins [1][3].
- Intense competition and the need for frequent product introductions increase execution risk [8].

What it means. Apple's growth drivers are solid but face sustainability challenges from supply chain and competitive pressures, requiring careful execution to maintain momentum.

Sources cited above.

- [1] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.15
- [2] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.25
- [3] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.10
- [4] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.24
- [5] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26
- [6] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.50
- [7] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26
- [8] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.9

COMPETITIVE POSITION

Apple's competitive position is challenged by intense price competition and imitation but supported by integrated innovation and intellectual property protection.

Apple faces substantial competition from companies with extensive resources and broad product lines that aggressively cut prices and imitate Apple's features, which pressures margins and market share given Apple holds a minority share in key markets like smartphones and wearables [1][2]. This competitive intensity means Apple must continuously innovate and differentiate to maintain relevance, a dynamic unlikely to abate given competitors' cost structures and scale advantages.

The company's vertically integrated design and development of hardware, operating systems, and software applications create a differentiated ecosystem that competitors struggle to replicate seamlessly [1][3]. This integration supports customer loyalty and product performance, but sustaining this advantage requires ongoing heavy R&D; investment and successful product launches, which are costly and carry execution risks [3][8]. Failure to innovate timely or effectively could erode this moat.

Apple's intellectual property portfolio and enforcement efforts provide a legal barrier against imitation, yet enforcement is uneven globally and competitors continue to infringe or imitate aggressively [1][3][5]. The risk that regulatory or legal challenges force Apple to share innovations or modify products could weaken its competitive edge. Moreover, reliance on third-party intellectual property and software developers introduces vulnerabilities that could disrupt product appeal if not

managed well [5].

Supply chain constraints and component sourcing from limited suppliers add operational risks that competitors with different cost structures might better absorb [1][5]. Additionally, global trade restrictions and currency fluctuations impose further cost and availability pressures that could limit Apple's pricing flexibility and margin sustainability [1][4]. These external factors could exacerbate competitive pressures if not effectively mitigated.

- Apple holds a minority market share in smartphones, PCs, tablets, and wearables, indicating fierce competition and limited dominance [1][2].
- R&D; spending increased 10% to \$34.55 billion in 2025, reflecting the necessity of continuous innovation to sustain competitive advantage [8].
- 60% of net sales come through indirect channels, exposing Apple to competitive pricing pressures and distribution challenges [6].
- Competitors sometimes price products at or below cost, intensifying margin pressure and requiring Apple to balance innovation with pricing strategy [1][2].
- Apple's intellectual property protections are significant but not uniformly enforceable worldwide, posing ongoing risks from imitation [3][5].
- Component shortages and trade restrictions create supply risks that could hinder product availability and increase costs, impacting competitiveness [1][4].

What it means. Apple's competitive position depends on its ability to sustain innovation, protect intellectual property, and manage supply chain risks amid intensifying price and imitation pressures, making continued investment in R&D; and legal defenses critical to preserving its market standing and margins.

Sources cited above.

[1] FY2025 Annual Report (10-K) - Item 1 -Business - p.4

[2] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.9

[3] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.9

[4] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.17

[5] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.11

[6] FY2025 Annual Report (10-K) - Item 1 -Business - p.4

[7] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.23

[8] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

OUTLOOK

Apple's aggressive capital return and disciplined cash management signal sustained shareholder value focus amid stable liquidity and evolving accounting standards.

Apple's announcement of a new \$100 billion share repurchase program in May 2025, alongside the ongoing \$110 billion program with \$19.8 billion remaining, reflects a strong commitment to returning capital to shareholders through buybacks. The repurchases, totaling \$89.3 billion in 2025 and \$21.0 billion in Q3 alone, indicate management's confidence in the company's cash flow generation and stock valuation. This capital return strategy is sustainable given Apple's substantial cash reserves and ongoing operational cash flow, though it depends on continued profitability and access to capital markets [2][3][6].

The company's quarterly dividend increase to \$0.26 per share and intention to raise dividends annually further demonstrate a balanced approach to shareholder returns, combining buybacks with steady income. This suggests management's expectation of stable or growing free cash flow to support dividends without compromising investment in growth or operations. The sustainability of dividend growth hinges on maintaining strong earnings and cash flow amid macroeconomic uncertainties [6][7].

Apple's liquidity position, with \$132.4 billion in cash, cash equivalents, and marketable securities as of September 2025, alongside \$91.3 billion in fixed-rate notes and manageable short-term commercial paper, provides ample flexibility to fund capital returns and operational needs. Manufacturing purchase obligations of \$56.2 billion, mostly payable within 12 months, represent significant but routine cash commitments aligned with product demand. This liquidity and capital structure support ongoing capital allocation plans, assuming no major disruptions in supply chains or credit markets [6][7][8].

The adoption of new accounting standards related to expense disaggregation and internal-use software capitalization by 2028-2029 introduces some reporting complexity but does not materially affect cash flow or capital allocation. These changes may enhance transparency for investors but are unlikely to alter management's capital return priorities or financial

flexibility in the near term [1][6].

- \$100 billion new share repurchase program announced in May 2025 signals continued aggressive capital return focus
- \$89.3 billion repurchased in 2025 confirms execution of buyback strategy amid strong cash flow
- Quarterly dividend raised to \$0.26 per share with intent to increase annually reflects confidence in sustained earnings
- \$132.4 billion liquidity position supports capital returns and operational commitments without strain
- \$56.2 billion manufacturing purchase obligations indicate ongoing investment in supply chain aligned with product demand
- Upcoming accounting changes will increase disclosure but not impact capital allocation or cash generation materially

What it means. Apple's robust capital return programs, supported by strong liquidity and cash flow, reinforce its appeal as a shareholder-friendly investment with sustainable financial discipline.

Sources cited above.

[1] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.20

[2] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23

[3] Q32025 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.12

[4] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.15

[5] FY2025 Annual Report (10-K) - p.3

[6] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.27

[7] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.19

[8] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.27

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Supply Chain Disruption in Asia Heavy reliance on single-source manufacturing partners in China and Asia exposes Apple to production halts, increased costs, and delayed product launches.	High, persistent geopolitical tension	Could reduce hardware segment revenue (~70% of total revenue) by 10-15% in affected quarters, translating to a \$20-30bn revenue hit annually if prolonged.	Could push fair value down from \$106.35 to near bear case \$70.54 (-34% from base case), reflecting margin compression and lost sales.	Quarterly shipment volumes and component lead times reported in supply chain disclosures.
Semiconductor Component Shortages Industry-wide chip shortages can limit Apple's ability to produce key products, increasing costs and reducing sales volume.	Medium, cyclical industry risk	Potential 5-8% revenue decline in hardware segment during shortage periods, impacting gross margins by 2-3 percentage points.	Could reduce fair value by approximately 10-15% from base case, lowering intrinsic value by \$10-15 per share.	Increase in component procurement lead times and inventory shortages reported in quarterly supply chain updates.
Supplier Code of Conduct Violations Violations by suppliers can damage Apple's brand reputation, leading to consumer backlash and potential sales declines.	Medium, occasional incidents	Reputational damage could depress hardware sales by 3-5% in affected periods, roughly \$6-10bn revenue impact.	Could reduce fair value by 5-7%, or about \$5-7 per share, due to brand damage and increased compliance costs.	Public reports or regulatory actions related to supplier labor or environmental violations.
Logistics and Transportation Disruptions Outsourced logistics failures can delay product deliveries, increase costs, and reduce customer satisfaction.	Medium, with episodic spikes	Could increase operating expenses by 1-2% and reduce sales by 1-2% during disruption quarters, impacting operating margin by up to 100bps.	Could reduce fair value by 3-5%, or \$3-5 per share, reflecting margin pressure and lost sales.	Quarterly changes in delivery times and logistics cost disclosures.

COMPETITIVE MOAT

Moat rating: Narrow

Apple's moat is primarily driven by its integrated ecosystem, brand strength, and IP protection, which support a premium pricing strategy but face intense competitive pressure that limits margin expansion. This moat can defend a terminal operating margin around 26%, but not the extremely high implied margin of 94.2%.

Sources of advantage:

- Integrated hardware-software ecosystem including proprietary OS and services
- Strong brand reputation enabling premium pricing
- Robust intellectual property portfolio and enforcement
- Extensive third-party software and accessories ecosystem

Threats to the moat:

- Aggressive price competition from competitors with lower cost structures
- Competitors imitating product features and integrated solutions
- Supply chain risks including component shortages and commodity price volatility
- Market saturation and limited growth in key product categories

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Operating Margin	Focus on innovation and integrated solutions to maintain premium pricing and margins	Model terminal operating margin at 26%, reflecting competitive pressure and cost challenges	More cautious
Revenue Growth	Expanding market opportunities in smartphones, wearables, and services	Model moderate year-1 revenue growth at 6%, acknowledging market saturation and competition	Aligned
Competitive Environment	Competition is intense with price cuts and feature imitation by rivals	Agree competition is intense and margin pressure is significant	Aligned
Supply Chain Risks	Component shortages and trade restrictions pose risks to product availability and costs	Incorporate supply chain risks as a factor limiting margin expansion and growth	Aligned

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q2 FY2026 Earnings Release	April 2026	Two-sided	Quarterly Revenue Growth
Launch and Initial Sales Data of Apple Vision Pro	Q1-Q2 FY2026 (Jan-Jun 2026)	Positive	Revenue Contribution from New Product
U.S. Department of Commerce Section 232 Semiconductor Tariff Decision Update	Mid 2026 (expected by June 2026)	Negative	Gross Margin Impact from Tariffs
FY2026 Annual Guidance Update	Q3 FY2026 (July 2026)	Two-sided	Operating Margin Guidance

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Revenue Growth (YoY)	6.0% (FY2025)	Upward	6.0% in FY2026	Revenue growth is the primary driver of valuation; current price implies 17.4% CAGR vs our 3.6%
Operating Margin	Not explicitly stated for FY2025, terminal margin expected at 26.0%	Stable to slight improvement	26.0% terminal margin	Price implies unrealistic 94.2% margin; margin expansion is critical to justify valuation
Impact of Tariffs on Gross Margin	No additional tariffs currently imposed	Potentially negative if tariffs imposed	Minimal impact if no new tariffs; negative if tariffs imposed	Tariffs could materially reduce gross margin and operating results

Metric	Current	Trend	What we expect	Why it matters
New Product Revenue Contribution (Apple Vision Pro, MacBook Pro, iPad Pro)	Initial launch phase Q1 2026	Increasing	Modest contribution in FY2026, ramping in subsequent years	New products could drive incremental revenue growth above baseline
Currency and Component Pricing Effects	Adverse macroeconomic conditions noted	Uncertain, potentially negative	Stable or slight headwinds	Macroeconomic factors impact cost structure and revenue, influencing margins

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 106.35	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 335.00	3.0	41 analysts; median USD 335.00; mean USD 325.70; range USD 215–400

Blended fair value USD 277.84 (-12.1% vs price). Reconciled from USD 106.35 to USD 335.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 316.18. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 316.18	Gap
Revenue CAGR (10-year)	3.6%	17.4%	+13.8pp
Operating margin (mature)	26.0%	94.2%	+68.2pp
FCF margin (mature)	20.8%	—	—
Terminal growth	2.5%	7.0%	+4.5pp

Operating margin (mature). An operating margin almost no company has ever sustained.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2026	441.1bn	6.0%	32.0%	110.4bn	101.4bn
FY2027	463.0bn	5.0%	31.3%	114.3bn	96.5bn
FY2028	482.5bn	4.2%	30.6%	117.2bn	91.0bn
FY2029	500.3bn	3.7%	30.0%	119.4bn	85.2bn
FY2030	517.0bn	3.3%	29.3%	121.0bn	79.3bn
FY2031	533.0bn	3.1%	28.7%	122.1bn	73.5bn
FY2032	548.5bn	2.9%	28.0%	122.9bn	68.0bn
FY2033	563.8bn	2.8%	27.3%	123.4bn	62.8bn
FY2034	579.1bn	2.7%	26.7%	123.7bn	57.8bn
FY2035	594.4bn	2.6%	26.0%	123.8bn	53.2bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2025	Yr-1 growth	10y CAGR	Revenue FY2035
Americas	178.4bn	6.8%	3.9%	260.9bn
Europe	111.0bn	9.6%	4.8%	177.0bn
Greater China	64.4bn	-3.8%	0.4%	67.2bn
Japan	28.7bn	14.6%	6.4%	53.1bn
Rest of Asia Pacific	33.7bn	9.9%	4.9%	54.2bn
Bottom-up total	416.2bn	-	3.9%	612.3bn

The reported segments sum to USD 416.2bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 4% total CAGR — in line with the 4% our top-down DCF assumes, which supports the headline forecast.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.1%	2.0%	10.3%	USD 70.54	-78%	25%
Base case	6.0%	26.0%	2.5%	8.8%	USD 106.35	-66%	50%
Bull case	18.5%	28.6%	3.0%	7.3%	USD 231.39	-27%	25%

Probability-weighted value USD 128.66 (-59.3% vs price). Range USD 70.54 to USD 231.39, a spread of 151% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 10.3% discount rate. Growth spread +/-13pp (one standard deviation of 5 years of revenue growth); margin spread +/-3pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 6% decaying toward 2.5%, a terminal margin of 26%, discounted at 8.8%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 19%, margins recover toward 29%, and an easing risk premium lowers the discount rate to 7.3%. Growth spread +/-13pp (one standard deviation of 5 years of revenue growth); margin spread +/-3pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

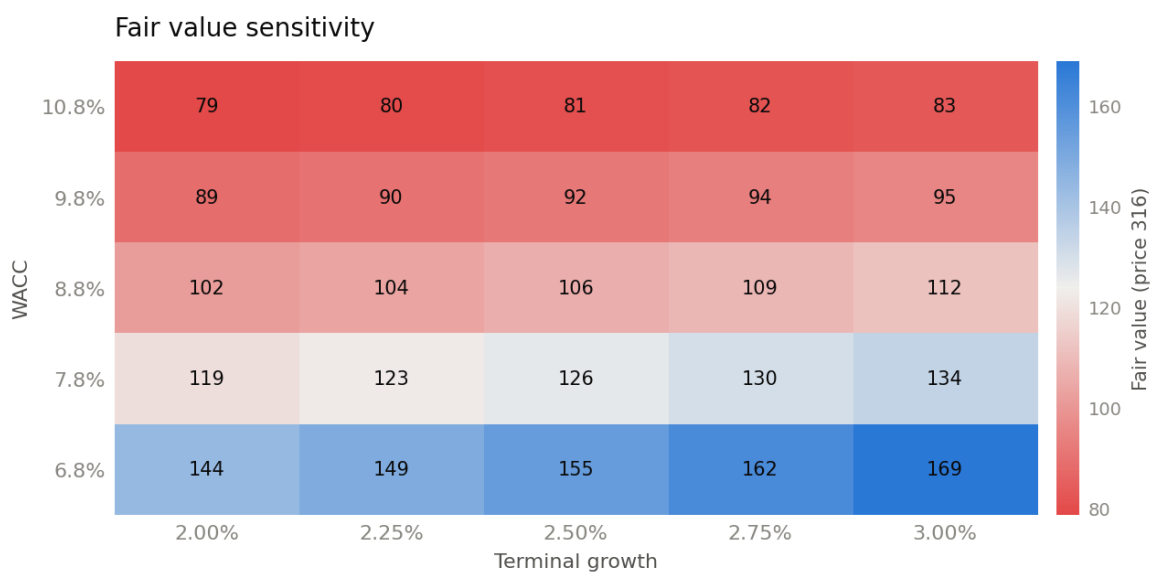
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US

Assumption	Value	Basis	Derivation
Beta (Blume-adjusted)	1.06x	Live market data	Five-year raw beta 1.09, Blume-adjusted $(0.67 \times 1.09 + 0.33 \times 1.00) = 1.06$
Effective tax rate	18.1%	Derived from filings	Mean of tax expense / pre-tax income for FY2023-FY2025
Beta (long-horizon)	1.04x	Derived from filings	0.75×1.06 (Blume) + 0.25×1.00 , the average beta over a 10-year horizon
Size premium	-1.5%	Standard default	Build-up size premium for a mega-cap (market cap USD 4,614bn)
Cost of equity	8.9%	Derived from filings	CAPM build-up: $4.65\% + 1.04 \times 5.50\% - 1.5\%$ size
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.65\% + 1.5\%$ investment-grade spread
WACC (discount rate)	8.8%	Derived from filings	$98\% \text{ equity} \times 8.89\% + 2\% \text{ debt} \times 6.15\% \times (1 - 18\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	6.0%	Model estimate (bounded)	Model estimate 6%, bounded to [2%, 6%] from reported growth of 6%
Terminal operating margin	26.0%	Model estimate (bounded)	Model estimate 26.0%, normalised down from today's 32.0%; kept within a maturity band of [25.6%, 32.0%] (floor 80% of current, set by steady margins; ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	2.9%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.8%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	22.8%	Derived from filings	Median change in working capital over change in revenue across 1 year(s) with material revenue growth

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Microsoft Corporation (MSFT)	3.6tn	27.1x	18.7x	10.9x
Alphabet Inc. (GOOGL)	4.2tn	17.3x	23.7x	9.2x
Sony Group Corporation (SONY)	138.5bn	20.2x	0.1x	0.0x
Dell Technologies Inc. (DELL)	284.7bn	35.1x	23.0x	2.4x

Implied value applies the peer median P/E of 23.7x to trailing EPS of 7.46.

MODEL NOTES AND LIMITATIONS

- A second-pass calibration review revised one or more forward assumptions (see the assumption rationales below); the fair value reflects the revised set.
- The analyst consensus (USD 335.00) sits 215% above our intrinsic DCF (USD 106.35). The blended value reconciles the two; read it as a triangulation, not a precise number.
- At USD 316.18 the price sits above even the bull case (USD 231.39); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 151% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Our intrinsic value (USD 106.35) sits 66% below the market price and 68% below the analyst consensus (USD 335.00). On this name we are the outlier: read it as a specific, assumption-driven contrarian view, and check the assumptions and the 'what is priced in' table before relying on it.
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q32026 Quarterly Report (10-Q) · filed 2026-07-31

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm>

Q32026 Earnings Release (8-K) · filed 2026-07-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000018/a8-kex991q3202606272026.htm>

Q22026 Quarterly Report (10-Q) · filed 2026-05-01

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000013/aapl-20260328.htm>

Q22026 Earnings Release (8-K) · filed 2026-04-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000011/a8-kex991q2202603282026.htm>

Q12026 Quarterly Report (10-Q) · filed 2026-01-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000006/aapl-20251227.htm>

Q12026 Earnings Release (8-K) · filed 2026-01-29

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000005/a8-kex991q1202612272025.htm>

Q42025 Earnings Release (8-K) · filed 2025-10-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019325000077/a8-kex991q4202509272025.htm>

Q32025 Quarterly Report (10-Q) · filed 2025-08-01

<https://www.sec.gov/Archives/edgar/data/320193/000032019325000073/aapl-20250628.htm>

FY2025 Annual Report (10-K) · filed 2025-10-31

<https://www.sec.gov/Archives/edgar/data/320193/000032019325000079/aapl-20250927.htm>

FY2024 Annual Report (10-K) · filed 2024-11-01

<https://www.sec.gov/Archives/edgar/data/320193/000032019324000123/aapl-20240928.htm>

FY2023 Annual Report (10-K) · filed 2023-11-03

<https://www.sec.gov/Archives/edgar/data/320193/000032019323000106/aapl-20230930.htm>

FY? Investor Presentation

https://www.uah.edu/images/colleges/business-administration/forms/10_30_apple_presentation.pdf

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